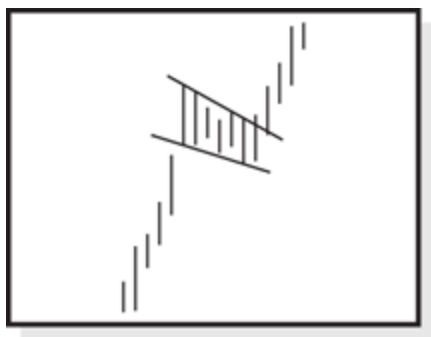


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Pennants



RESULTS SNAPSHOT

Appearance: Price forms a straight-line run (flagpole) of several day's duration. Then the stock pauses, often retracing a portion of its move, forming a short triangle pattern (the pennant) bounded by two converging trendlines.

Upward Breakouts

	Bull Market	Bear Market
Reversal or continuation	Short-term bullish continuation	Short-term bullish continuation
Breakeven failure rate	54%	40%
Average rise	7%	10%
Volume trend	Downward	Downward
Percentage meeting price target	35%	46%
See also	Flags; flags, high and tight; triangles, symmetrical bottoms; triangles, symmetrical tops; wedges, falling; wedges, rising	